Internal Financial Report

To: Executive Strategy Team **From:** Finance Department **Date:** October 9, 2025 **Subject:** Q3 2025 Performance Review and Analysis

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Quarterly Performance Summary

This report outlines the key financial and operational metrics for Q3 2025, with a comparison to Q2 2025 performance. While revenue saw a slight increase, a significant rise in the Cost of Goods Sold (COGS) led to a notable compression of our gross profit margin.

Key Metrics

Q2 2025:

- **Total Revenue:** $5,500,000
- **Cost of Goods Sold (COGS):** $2,810,500
- **Gross Profit:** $2,689,500
- **Gross Profit Margin: 48.9%**

Q3 2025:

- **Total Revenue:** $5,600,000
- **Cost of Goods Sold (COGS):** $3,068,800
- **Gross Profit:** $2,531,200
- **Gross Profit Margin: 45.2%**

Operational Metrics (End of Q3):

- **Inventory Days Outstanding: 55 days** (Stable and within the target range of 50-60 days).

Analysis & Commentary

The primary driver for the **3.7 percentage point decrease** in Gross Profit Margin was an unexpected raw material cost spike that began in late July and peaked in August.

- **Cobalt Prices:** Geopolitical instability in key mining regions led to a temporary but sharp **15% price increase** in our cobalt supply contracts.
- **Semiconductor Chipsets:** Ongoing supply chain constraints caused our primary chipset supplier to invoke a price increase clause, resulting in an **8% increase in costs** for our main controller units.

Our inventory management remains efficient, and production capacity was not a constraining factor in Q3. The focus for Q4 must be on mitigating these input cost pressures.